

2004 Annual Report



Universal Service Administrative Company

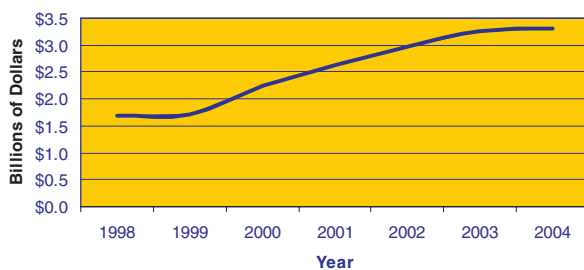
Universal Service Administrative Company – Overview

The Universal Service Administrative Company (USAC) is the independent, not-for-profit corporation that has been designated as the permanent administrator of the federal universal service support mechanisms by the Federal Communications Commission (FCC). USAC's mission is to advance the federal policy of ensuring that all Americans receive the benefits of affordable access to telecommunications and information services.

USAC submits an annual report to Congress and the FCC in accordance with 47 CFR § 54.702(g), which requires USAC to report on the "operations, activities, and accomplishments for the prior year, including information about participation in each of the universal service support mechanisms and administrative action intended to prevent waste, fraud, and abuse."

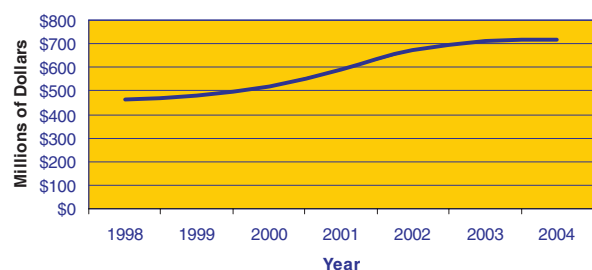
USAC Yearly Funding at a Glance

High Cost Support



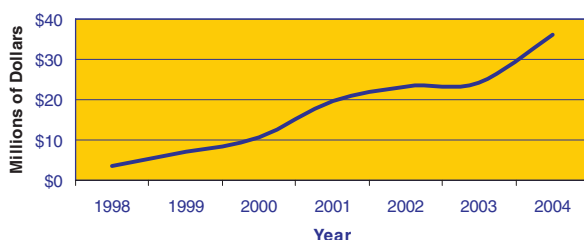
The High Cost Support Mechanism ensures that consumers in all regions of the nation have access to and pay rates for telecommunications services that are reasonably comparable to those services provided and rates paid in urban areas.

Low Income Support



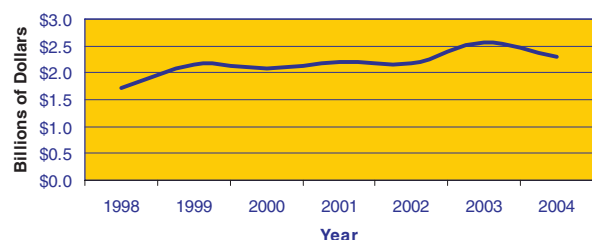
The Low Income Support Mechanism assists eligible low-income consumers to establish and maintain telephone service by discounting basic local service provided by telephone companies.

**Rural Health Care Support
As of December 31, 2004**



The Rural Health Care Support Mechanism provides reduced rates to rural Health Care Providers for telecommunications and Internet services necessary for the provision of health care.

**Schools and Libraries Support
As of December 31, 2004**



The Schools and Libraries Service Support Mechanism provides discounts to assist schools and libraries in the United States, its territories and the District of Columbia to obtain affordable telecommunications and Internet access.

Funding commitments for the Rural Health Care and Schools and Libraries Support Mechanisms are reported on this page in funding years, which run from July 1 through June 30. Estimates are for the 2004 funding year. Disbursements for the High Cost and Low Income Support Mechanisms are reported on a calendar year basis.

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Message from the Chairman of the Board

This is my last report to USAC's stakeholders. On December 31, 2004, I ended my tenure as Chairman of the USAC Board of Directors and departed the Board. I have had the privilege of serving as Chairman of the USAC Board for five years. As an original Board member both of USAC and the former Schools and Libraries Corporation, I had the distinct pleasure of being part of the process that brought reality to the Congressional universal service mandate set forth in the Telecommunications Act of 1996. From September 1997, when the Boards first met without offices or staff to today, when USAC administers the \$6.5 billion Universal Service Fund under close Federal Communications Commission oversight, it has been a wonderful experience to be a part of USAC. Along the way I have had the pleasure of dealing with a strong and committed USAC staff and outstanding fellow Board partners.

The USAC Board's diverse membership makes it a unique entity. Most of the members were strangers to each other until called upon to represent their constituencies on the Board and to ensure that the universal service support mechanisms are administered efficiently and effectively. Driven by a common goal of serving the public interest, the Board acted with comity and neutrality, using each member's unique background and experience when making decisions on the issues before them. The continuing evolution of the Universal Service Fund has challenged the Board and staff since USAC's creation.

In 2004 the Board was faced with the daunting task of replacing our founding Chief Executive Officer, Cheryl Parrino. The Board's decision to recommend to Chairman Powell that he appoint Lisa Zaina has proven to be an excellent choice. Lisa came aboard in March and quickly became fully immersed in the task of running USAC. Her background both within the telecommunications industry and at the FCC proved to be invaluable throughout the year. USAC is in good hands with Lisa at the helm now and will be in the future.

USAC faced numerous challenges in 2004. One of the most significant challenges was implementing the FCC order that mandated USAC convert to Government Accounting

Standards. Although it was a huge task that required extensive system development as well as thousands of hours of employee training, I am proud to say it was accomplished. However, as these changes were being implemented, the unanticipated interaction with the Antideficiency Act on the Schools and Libraries Program and Rural Health Care Program forced both programs to suspend issuance of Funding Commitment Letters to applicants and service providers in August. As the reality of the situation became clear to the various constituencies of USAC, they rallied to forge a solution which led to Congress passing an exemption from the Act for calendar year 2005. This will allow USAC, at least in the near term, to continue to administer these programs in the way Congress and the FCC intended.

USAC and the Fund will again be challenged in 2005; however, I am confident that USAC will be in good hands as a new Chairman of the Board and committee chairs take office. As I step down, I wish to convey my heartfelt thanks and appreciation to past and present Board colleagues and to the talented and dedicated USAC staff for a job well done, and to wish them the best as they confront the many challenges and opportunities ahead.



Frank J. Gumper
Chairman of the Board



Frank Gumper
Chairman, Board of Directors

Letter from the Chief Executive Officer

My first year as the Chief Executive Officer of the Universal Service Administrative Company has been quite an experience. Although there have been many challenges, it has been a wonderful learning experience for us all. There is the old adage, if it doesn't kill you, it will make you stronger, and this organization has become stronger as a result of the many challenges we have faced this past year.

Annual reports allow us to not only look back at where we have been but also look forward to where we would like to go. It allows us to rely on the facts of the past, while at the same time creating a vision of the future.

We administer four programs; High Cost, Low Income, Rural Health Care, and Schools and Libraries. Each program wears its role well. The High Cost program ensures that customers in areas where it is expensive to provide phone service have access to the nation's telecommunications network and all of the possibilities that creates. The Low Income program ensures that low income customers have access to and can maintain a presence on the network. The Rural Health Care and Schools and Libraries programs improve educational opportunities and access to health care to the nation's citizens by administering funds to connect schools, libraries, and rural health care providers to the Internet, thus enabling them to take advantage of instantaneous worldwide connectivity. Each of these programs is important in its own right, however, taken as a package, these programs present an unbeatable opportunity for economic development.

Together, they afford access not only to each other, but also access to information to the benefit of each individual. The old saying that a chain is only as strong as its weakest link is truly borne out when we talk about telecommunications and society's access to it. Information is power, and access to our communications networks distributes that power.

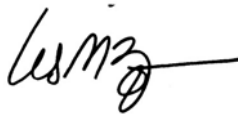
Since information is power, as the administrator of the programs, I believe that USAC has a responsibility to ensure that its stakeholders understand the programs, the manner in which they work, and the way in which they interrelate. We have been trying to provide this information. In fact, this year the Board authorized the staff to create an education and communications plan.

One of my goals for 2005 is to continue to ensure that our stakeholders become better educated about our programs. This allows them to use the programs to their fullest potential, and avoid some common mistakes that sometimes create challenges for the beneficiaries and program administration alike. The education and communications program will lend itself to keeping all of our stakeholders informed about our programs. Our stakeholders include the FCC, state commissioners, Congress, schools and libraries, rural health care providers, low income consumers and high cost rural companies.

The staff of USAC is an extremely dedicated, talented and professional group of people. They have risen to every challenge that USAC has faced this year and they've done it with style, grace and wit. The USAC team is an incredible one and it is an honor and privilege to work with this staff.

This year also marks the last year of Frank Gumper's chairmanship of the USAC Board of Directors. Frank has provided extraordinary leadership for USAC, the Board, and staff and we will miss him dearly at our helm. The USAC Board of Directors is comprised of individuals each of whom has committed himself to the good work that this organization does. One of the most important things about the USAC board is the fact that we have representation from across all of the stakeholders and each member is a leader in his respective community.

I look forward to an exciting, educational and effective 2005 and the challenges that only make us stronger.



Lisa M. Zaina
Chief Executive Officer



Lisa M. Zaina
Chief Executive Officer

USAC Accountability

Congress

The Telecommunications Act of 1996 established the framework for universal service. USAC responds to all congressional inquiries and provides testimony before the United States Senate and House of Representatives.

FCC

The FCC provides direct oversight of USAC's activities and performance pursuant to federal regulations. The FCC and USAC maintain a close working partnership with a focus on integrity and service.

Service Providers

Whether it is a small rural telecommunications company, an ISP or a national service provider, USAC strives to provide accurate and timely payments to each and values their participation in the Universal Service Fund.

USAC Board of Directors

The 19-member Board of Directors governs USAC's day-to-day operations. The Board approves budgets for the four support mechanisms and provides oversight, direction and advice to USAC staff.

USAC

Applicants

USAC's objective is to process applications with the utmost efficiency, while protecting the integrity of the process. Applicant input is valued by USAC as we work to serve them better.

Vendors

USAC manages several outside contractors that assist in the administration of the Universal Service Fund. These vendors are directly accountable to USAC. Their contracts include performance guarantees and are competitively bid to ensure that USAC retains the highest quality of service at the lowest cost.

CONGRESS

USAC Board Chairman Frank Gumper, who provided testimony at Congressional hearings, is seen here leading a discussion at USAC's April 2004 Board Meeting.



USAC interacts with Congress on a regular basis by providing answers to Member and Staff questions regarding all aspects of the four support mechanisms.

The Telecommunications Act of 1996 created the Schools and Libraries and the Rural Health Care Support Mechanisms and consolidated the administration of universal service, including the High Cost and Low Income Support Mechanisms, as well as assessing and collecting contributions. Since that time, Congress has continued to play an active oversight role regarding universal service and the administration of the fund by USAC.

During 2004, USAC testified four times before Congressional Committees. Three hearings were held by the House of Representatives Energy and Commerce Committee, Oversight and Investigations Subcommittee, and one was held by the Senate Commerce, Science and Transportation Committee. The hearings were held as part of the oversight responsibilities of Congress. USAC Board Chairman Frank Gumper and USAC Vice President George McDonald provided testimony, in addition, USAC provided documents to Congress in connection with various oversight requests.

USAC Vice President George McDonald testified at four congressional hearings in 2004. Mr. McDonald is pictured here leading a discussion at the annual Schools and Libraries Train-the-Trainer event in Arlington, VA held in September.



FEDERAL COMMUNICATIONS COMMISSION

FCC's Telecommunications Access Policy Division Chief, Narda Jones (Center) with Vickie Robinson (Left) and Jennifer Schneider (Right) respond to questions at the September 2004 Train-the-Trainer workshop in Arlington, VA.



Chairman Michael Powell
Federal Communications Commission

In administering the Universal Service Support Mechanisms, USAC is directly accountable to the Federal Communications Commission (FCC). The FCC Chairman appoints members of USAC's Board of Directors, including the Chief Executive Officer. The Telecommunications Act of 1996 established the Universal Service Fund (USF) and gave the FCC the authority for its management and oversight. Since that time, the FCC has further augmented and strengthened the programs within the USF through the issuance of regulations, orders, and other directives.

USAC is charged with implementing all regulations and orders in close coordination with and under the supervision of the FCC. Many of the FCC orders affect systems, procedures, personnel, applicants, service providers, and accounting methods as exemplified by USAC's accounting change from Generally Accepted Accounting Principles to Government Generally Accepted Accounting Principles in 2004.

USAC and the FCC interact on a daily basis to ensure close coordination and that policies and procedures established by the FCC are accurately and timely implemented. This close partnership creates greater oversight and accountability for USAC and the USF.

USAC also works closely with the FCC Office of the Inspector General, the Enforcement Bureau and the Wireline Competition Bureau to coordinate audit issues and matters that require enforcement action.

On December 15, 2004, the FCC further expanded the Rural Health Care Support Mechanism by redefining the definition of the "Rural".

Pictured right: Open meeting where the FCC adopted the Rural Health Care Support Mechanism Order.



BOARD OF DIRECTORS



Vice President of the Rural Health Care Division, Mel Blackwell (Left), and Dr. Jay Sanders, Chair of the Rural Health Care Committee, pictured here at a Rural Health Care Committee meeting.

USAC's 19-member Board of Directors meets at least quarterly to provide oversight of USAC operations and more frequently, if necessary, to address issues between quarterly meetings. The Board is divided into three programmatic committees — the High Cost & Low Income Committee, Rural Health Care Committee, and Schools & Libraries Committee — and two administrative committees — the Audit Committee and Executive Committee. Board members are responsible for guiding the operation and ensuring the integrity of each support mechanism and the USF as a whole. Board members are nominated by their constituent group (i.e., school, library, rural health) and are appointed by the Chairman of the FCC. Board members serve for a term of three years.

The Board consists of leaders from a variety of disciplines which helps to ensure that USAC staff has the benefit of a wide range of experience and knowledge. Each member of the Board has a fiduciary duty to USAC and the USF. The Board approves all budgets and provides oversight and guidance to staff. Many issues are brought to the Board for final decisions, such as programmatic issues that involve increases in staff, major changes in procedures and audit issues. USAC staff is accountable to the Board.

USAC is required to disclose expenses that are reimbursed to Board Members for events other than attendance at USAC Board meetings. During 2004, \$9,486.35 was reimbursed to Board Members for travel expenses incurred to testify at a Congressional Hearing, review the Schools and Libraries operations being performed for USAC at NECA Services Inc. and travel expenses during the transition between Chief Executive Officers.



Chair of the High Cost and Low Income Committee Kevin Hess (Left) and Vice President and General Counsel Scott Barash working together at a Board of Director's meeting.



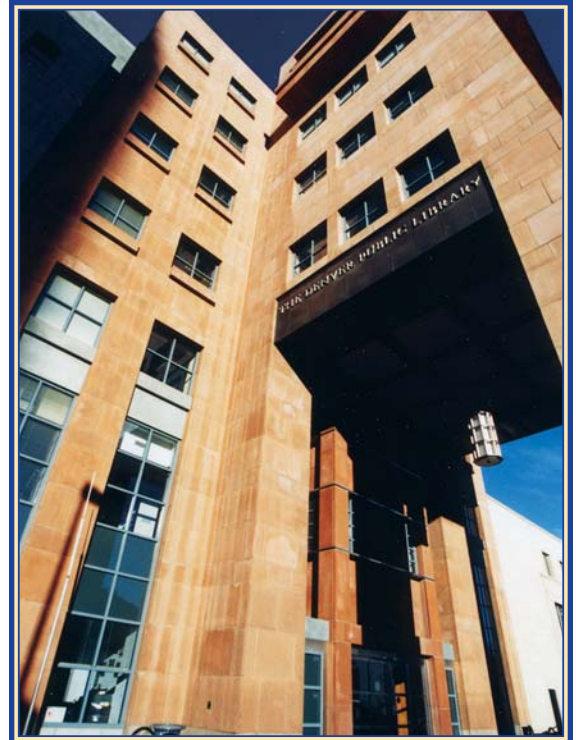
Audit Committee Chair Edwin Eichler (Right) with Vice President of the Internal Audit Division Wayne Scott at a meeting of the Audit Committee.

In 2004, USAC's Board of Directors expanded the number of audits for the Schools and Libraries and Rural Health Care Support Mechanisms to include over 120 beneficiary audits. USAC's Internal Audit Division also examined all four support mechanisms for improvements in process integrity. In 2005, USAC, in conjunction with the FCC, will retain an outside audit firm to substantially increase audits of beneficiaries in all support mechanisms.

Applicants

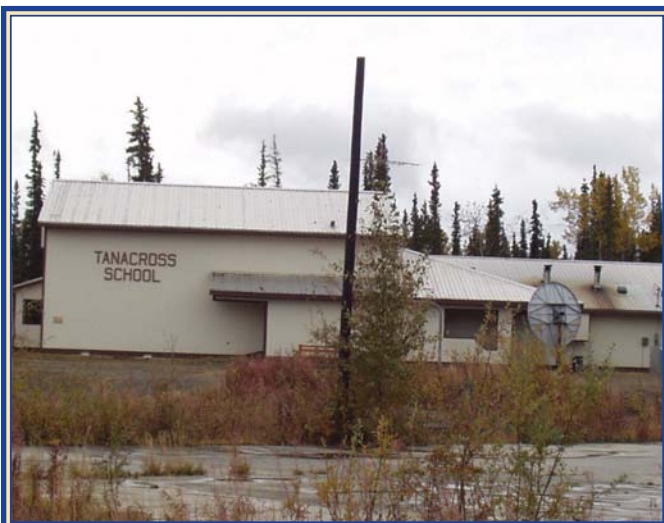


In rural America, the local medical clinic may serve multiple purposes. The Tanacross Clinic in Alaska, pictured to the left, serves not only as the local store but as the village council's meeting place. Telemedicine is growing in the United States and provides rural communities access to quality health care in times of need.



The Denver Public Library is just one of the over 8,500 libraries across America that receive support from the Schools and Libraries Support Mechanism.

Photo: Courtesy of the Denver Public Library



The Tanacross School in Alaska is just one of the thousands of recipients of E-rate funding.

During 2004, the Schools and Libraries Support Mechanism processed over 25,000 applications representing over 80,000 schools, school districts, and libraries. The High Cost Support Mechanism funded nearly 1,500 service providers and the Low Income Support Mechanism provided support to over 1,300 telecommunication companies, while the Rural Health Care Support Mechanism served over 1,500 applicants.

Education and Communication

(Pictured right) Schools and Libraries Manager of Invoicing Operation Mick Kraft (Center) speaks with participants at the Providence, RI Service Provider Training Program in 2004.



USAC is charged by the FCC with the responsibility to perform outreach to all program applicants and to report on those activities annually. Each Universal Service Support Mechanism has unique educational and outreach needs and opportunities that USAC addresses in a variety of methods.

USAC employees have conducted dozens of in-person outreach activities where thousands of actual and potential applicants and service providers have been present to obtain information regarding program rules, ask questions regarding program changes and provide input regarding their experience with USAC. All of these activities are valuable and, as a result, many administrative changes have been made in response to input received from applicants and service providers.

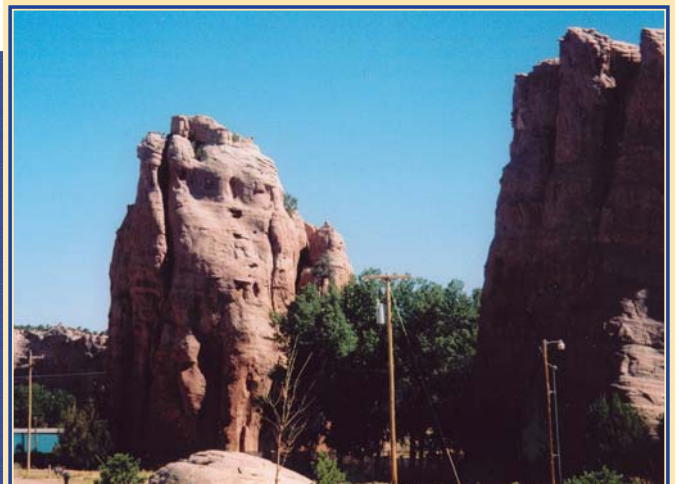
USAC plans to increase its outreach efforts for all programs in 2005, which will allow USAC to have a better feel for how technology is being used, to disseminate best practices and to answer program questions. The Schools and Libraries Division (SLD), for example, expects to visit 865 schools and libraries in an effort to help applicants better understand program rules, answer questions regarding the application process and to observe the technology used to help educate students and serve library patrons.

USAC also provides outreach in many other settings, such as on-going conference calls with applicants and service providers, updates to the USAC website and e-mail and hard copy mailings. Each program also has available to program participants, customer service representatives who handle tens of thousands of calls each year on programmatic topics.



Rural Health Care Director William England presenting at the the annual Conference of Rural Telecommunications Congress in Spokane, Washington in 2004.

In 2004, members of the FCC's Consumer Government Affairs Bureau and USAC's High Cost and Low Income Division visited the Navajo Reservation in Window Rock, AZ (Pictured right). This trip was part of an outreach initiative designed to increase the number of tribal residents who benefit from the Low Income Support Mechanism. From 2003 to 2004, tribal Lifeline subscriber ship increased by 26,787 (from 147,227 to 174,014) individuals nationwide.



USAC Staff



The Schools and Libraries weekly staff meeting is held to improve program administration, solve customer problems, address any applicant and service provider issues and to discuss FCC directives. (Pictured from left to right) Royce Bancroft, Don Short, Dan Navarro, and Phil Gieseler.

The mission of USAC is to administer the Universal Service Support Mechanisms in accordance with FCC direction by collecting and disbursing funds, ensuring fund integrity and accountability and communicating with stakeholders.

USAC staff is responsible for the day-to-day administration and outreach of all Universal Service Support Mechanisms — High Cost, Low Income, Rural Health Care and Schools and Libraries — and is responsible for all of the billing, collection, financial reporting and management of the USF. USAC's Internal Audit Division is responsible for both internal and external audits of all aspects of the USF.

Program integrity and applicant service are the backbone of USAC's mission. USAC has in place checks and balances for every process to help ensure the integrity of our operations and the safeguarding of funds. There are a variety of automated and manual checkpoints associated with all applications and distribution of funds. USAC is subject to annual audits of its financial statements and its administrative processes are subject to audit procedures by outside firms as well as our own internal auditors. In addition, USAC's legal team works in close coordination with various federal, state and local authorities when enforcement actions are necessary.

USAC serves applicants in a whole host of ways and constantly seeks to improve the way we do business. We have automated various aspects of our business to allow applicants access to information how and when they need it. We have utilized the web based functions to reduce paperwork and speed up application submission and processing. Also, we have expanded our outreach and education functions and have reshaped various other functions to address changing business conditions.

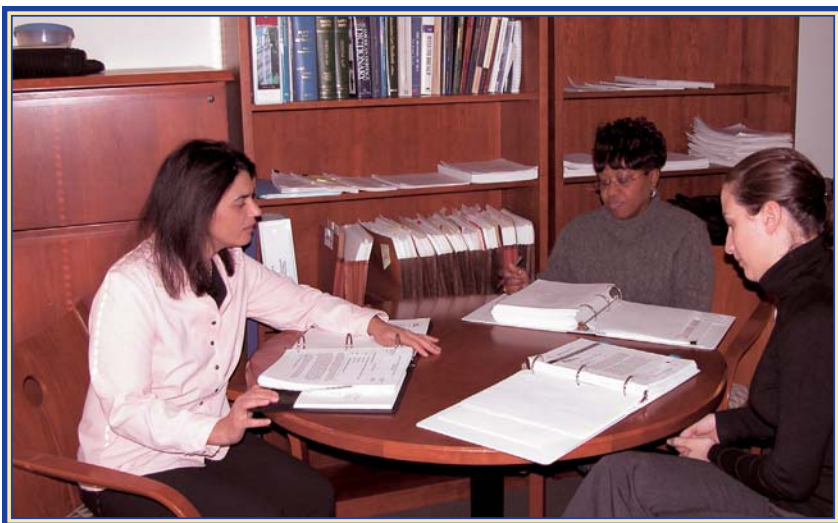
USAC staff provides oversight and manages several contractors. In 2004, USAC contracted with LaSalle Bank, National Exchange Carrier Association (NECA), NECA Services Inc. (NSI), Rhoads and Sinon, and Telecordia Technologies. All performed the tasks associated with their respective contracts in a satisfactory manner.

The Schools and Libraries Division's Director of Audit Response Ed Falkowitz (Left) chairs a meeting at NECA Services, Inc. USAC staff works closely with vendors providing support services to USAC.



Vice President of the High Cost and Low Income Division Irene Flannery (Pictured second from the right) and staff review the current process flow diagram for the these support mechanisms.

High Cost and Low Income staff from left to right: Karen Majcher, Craig Davis, Michael Spead, and Ta'nea Davis.



USAC's legal staff provides support and advice on all aspects of USAC's operations. The team works to ensure that USAC operates in accordance with FCC rules and the Telecommunications Act of 1996.

Pictured from left to right: Linda Miller, Marcia Panton, and Ginna Melendez.



(Left) USAC's Disbursements Team meets to review the week's progress. USAC disburses over \$5.5 Billion a year and makes nearly 25,000 payments. From left to right: Christina Lirag-Chua, Peck Chegne, Mike Pond, and David Lenard.

(Seated right) Customer Service Manager Ian Kobler discusses an issue raised by a customer with Joseph Smith and Qudsia Hairat, both part of USAC's Customer Service Team. As a whole, this group handles approximately 24,000 customer inquiries a year.



Members of USAC's Internal Audit Division review procedures for use in the audits conducted for all support mechanisms.

From Left to right: Liz Chou, Tina McCrone, Amanda Dunn, and Jeremy Helbing.



Service Providers



Director of Service Provider Support Cynthia Schultz speaking at the Schools and Libraries Train-the-Trainer event in Arlington, VA.

Service providers play a critical role in the support mechanisms. There are over 4,300 service providers who participate in the universal service programs by providing products and services to applicants and over 2,600 who collect and remit funds to USAC for distribution to qualified applicants.

The role of service providers is instrumental to the success of the support mechanisms. Service providers are responsible for providing telecommunications, Internet access and internal connection services to applicants. They are also encouraged to have a detailed knowledge of all program rules and follow all state and local procurement laws and regulations. They must also submit various sets of data and forms to USAC, such as, invoices, revenue data and other information, which is used to process applications and implement the Universal Service Support Mechanisms. USAC conducts audits of service providers to maintain the integrity of the process and the data submitted for payment.

USAC has a responsibility to help ensure that service providers and contributors are aware of and comply with program and FCC rules, to collect universal service fees from telecommunications carriers, to process invoices in a timely manner, and to remit universal service funds to applicants through their service providers. USAC disseminates information regarding rules in a variety of ways, such as conducting service provider workshops, attending various association conferences, hosting conference calls, and web-based training. Service providers submit almost 90,000 invoices each year for which USAC has the responsibility to validate the information submitted prior to remitting payment.



(Pictured left) Participants at the Schools and Libraries Service Provider Training in Providence, Rhode Island. USAC also conducted trainings in Little Rock, Arkansas, New Orleans, Louisiana, and San Diego, California during the Fall of 2004.

During 2004, over 400 service providers were trained on new program rules for the Schools and Libraries Support Mechanism.



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INDEPENDENT AUDITORS' REPORT

To the Board of Directors of the
Universal Service Administrative Company

We have audited the accompanying statements of financial position of the Universal Service Administrative Company (a Delaware corporation) (the "Company") as of December 31, 2003 and 2002, and the related statements of operations and change in unrestricted net assets and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of the Universal Service Administrative Company as of December 31, 2003 and 2002, and the results of its operations and its cash flows for the years then ended in conformity with accounting principles generally accepted in the United States.

A handwritten signature in black ink that reads "Deloitte & Touche LLP".

June 23, 2004

UNIVERSAL SERVICE ADMINISTRATIVE COMPANY
STATEMENTS OF FINANCIAL POSITION
DECEMBER 31, 2003 AND 2002 (In Thousands)

ASSETS	2003	2002
CURRENT ASSETS:		
Cash and cash equivalents (Note 2)	\$ 2,886	\$ 514
Receivable from Federal Universal Service Fund ("USF") (Note 2)	-	2,480
Interest receivable	6	7
Prepaid expenses and other current assets	<u>739</u>	<u>589</u>
	3,631	3,590
ASSETS HELD FOR FEDERAL USF (Note 3)	<u>3,491,094</u>	<u>2,881,616</u>
Total current assets	3,494,725	2,885,206
FIXED ASSETS, less accumulated depreciation and amortization of \$894 and \$762, respectively (Note 2)	2,009	584
OTHER ASSETS	<u>80</u>	<u>-</u>
TOTAL ASSETS	<u><u>\$ 3,496,814</u></u>	<u><u>\$ 2,885,790</u></u>
LIABILITIES AND UNRESTRICTED NET ASSETS		
CURRENT LIABILITIES:		
Accounts payable and accrued expenses (Note 2)	\$ 2,938	\$ 4,174
Payable to Federal Universal Service Fund ("USF") (Note 2)	2,782	-
LIABILITIES RELATED TO ASSETS HELD FOR FEDERAL USF (Note 3)	<u>3,491,094</u>	<u>2,881,616</u>
Total current liabilities	3,496,814	2,885,790
COMMITMENTS AND CONTINGENCIES (Note 6)		
UNRESTRICTED NET ASSETS	<u>-</u>	<u>-</u>
TOTAL LIABILITIES AND UNRESTRICTED NET ASSETS	<u><u>\$ 3,496,814</u></u>	<u><u>\$ 2,885,790</u></u>

See notes to financial statements.

UNIVERSAL SERVICE ADMINISTRATIVE COMPANY
STATEMENTS OF OPERATIONS AND CHANGE IN UNRESTRICTED NET ASSETS
YEARS ENDED DECEMBER 31, 2003 AND 2002 (In Thousands)

	2003	2002
REVENUE:		
Contract revenue	<u>\$ 58,791</u>	<u>\$ 46,192</u>
OPERATING EXPENSES:		
Contractual expenses (Notes 1 and 6)	41,356	36,438
Personnel and related expenses	8,771	5,502
General and administrative	8,335	3,402
Depreciation and amortization	<u>329</u>	<u>850</u>
Total operating expenses	<u>58,791</u>	<u>46,192</u>
NET INCOME	-	-
UNRESTRICTED NET ASSETS—Beginning of year	<u>-</u>	<u>-</u>
UNRESTRICTED NET ASSETS—End of year	<u><u>\$ -</u></u>	<u><u>\$ -</u></u>

See notes to financial statements.

UNIVERSAL SERVICE ADMINISTRATIVE COMPANY
STATEMENTS OF CASH FLOWS
YEARS ENDED DECEMBER 31, 2003 AND 2002 (In Thousands)

	2003	2002
CASH FLOWS FROM OPERATING ACTIVITIES:		
Cash received from contributors	\$ 5,889,298	\$ 5,174,622
Interest received	26,063	44,811
Cash paid to service providers	(5,358,946)	(5,195,897)
Cash paid for administrative costs	(59,928)	(47,709)
Less: Net cash (provided by) used for Federal USF	<u>(492,361)</u>	<u>22,479</u>
Net cash provided by (used for) operating activities	<u>4,126</u>	<u>(1,694)</u>
CASH FLOWS FROM INVESTING ACTIVITIES:		
Redemption of investments	320,538	588,342
Purchase of investments	(389,855)	(431,761)
Cash paid for fixed assets	(1,754)	(387)
Less: Net cash used for (provided by) Federal USF	<u>69,317</u>	<u>(156,581)</u>
Net cash used for investing activities	<u>(1,754)</u>	<u>(387)</u>
INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	2,372	(2,081)
CASH AND CASH EQUIVALENTS—Beginning of year	<u>514</u>	<u>2,595</u>
CASH AND CASH EQUIVALENTS—End of year	<u><u>\$ 2,886</u></u>	<u><u>\$ 514</u></u>
RECONCILIATION OF NET CASH FROM OPERATING ACTIVITIES:		
Net income	\$ -	\$ -
Adjustments to reconcile net income to net cash provided by (used for) operating activities:		
Depreciation and amortization	329	850
Changes in operating assets and liabilities:		
(Increase) decrease in interest receivable	1	(1)
Decrease (increase) in prepaid expenses and other current assets	(230)	763
Decrease (increase) in assets held for Federal USF	(609,478)	(1,247)
Decrease (increase) in receivable from/payable to Federal USF	5,262	(176)
Decrease in accounts payable and accrued expenses	(1,236)	(3,130)
(Decrease) increase in liabilities related to assets held for Federal USF	<u>609,478</u>	<u>1,247</u>
NET CASH PROVIDED BY (USED FOR) OPERATING ACTIVITIES	<u><u>\$ 4,126</u></u>	<u><u>\$ (1,694)</u></u>

See notes to financial statements.

UNIVERSAL SERVICE ADMINISTRATIVE COMPANY

NOTES TO FINANCIAL STATEMENTS

YEARS ENDED DECEMBER 31, 2003 AND 2002 (In Thousands)

1. ORGANIZATION AND BASIS OF PRESENTATION

The Universal Service Administrative Company ("USAC" or the "Company") was incorporated, effective September 17, 1997, as a not for profit independent wholly-owned subsidiary of the National Exchange Carrier Association, Inc. ("NECA"), and appointed by the Federal Communications Commission ("FCC") to administer the Federal Universal Service Fund ("USF"). USAC's Board of Directors consists of independent directors representing a cross-section of stakeholders in the Federal USF.

The FCC, in its Report and Order in CC Docket Nos. 96-45 and 97-21 ("Universal Service Order") released May 8, 1997 and November 20, 1998, respectively, determined that USAC should serve as the permanent administrator of the high cost, low income, rural health care, and schools and libraries universal service support mechanisms, collectively referred to herein as the "Support Mechanisms," established pursuant to Section 254 of the Communications Act of 1934, as amended.

USAC performs billing, collection and disbursement functions for all the Support Mechanisms. It also collects information regarding contributing entities' and end-user telecommunications revenues, submits projections of demand, administrative expenses for the Support Mechanisms and quarterly universal service contribution data to the FCC.

The functions of USAC also include, but are not limited to: development of applications and associated instructions as needed for the Support Mechanisms, administering the application process to ensure compliance with FCC rules and regulations, creating and maintaining a web site and related operational infrastructure for such processes, performing outreach and public education functions, authorizing audits of telecommunication carriers, schools, libraries, and rural health care providers, and development and implementation of other functions unique to the Support Mechanisms.

Funds collected from contributors by USAC are restricted as to their intended use related to the Support Mechanisms discussed above. Accordingly, such funds have been reflected as assets held for Federal USF and liabilities related to assets held for Federal USF in the accompanying statements of financial position. Available funds are maintained and invested by USAC.

NECA performs certain administrative services for USAC under contract whereby NECA is compensated by USAC in accordance with NECA's Cost Accounting and Procedures Manual. Effective July 1, 2002, NECA entered into a fixed price contract with USAC for services performed for the Schools and Libraries and Rural Health Care Support Mechanisms. For the years ended December 31, 2003 and 2002, the expense recognized for services rendered by NECA were \$35,923 and \$32,909, respectively, and is included in contractual expenses in the accompanying statements of operations. At December 31, 2003 and 2002, the amounts due to NECA related to these services were \$731 and \$3,006, respectively.

2. ACCOUNTING POLICIES

Use of Estimates— The preparation of financial statements in conformity with accounting principles generally accepted in the United States requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

The allowance for doubtful accounts represents a reserve estimate for amounts billed to contributors that may be uncollectible. The allowance includes specific reserves for identified bankruptcies, identified inactive contributors, delinquent amounts that were referred to the FCC for enforcement and a general reserve based on management's assessment of the recoverability of accounts receivable. Management periodically reviews such estimates and it is reasonably possible that management's assessment of recoverability may change based on actual results.

Concentration of Credit Risk— Financial instruments that potentially subject the Company to concentration of credit risk consist principally of cash, cash equivalents, short-term and long-term investments and receivables from contributors. The Company places its cash, cash equivalents, short-term and long-term investments with high-credit, quality institutions and limits the amount of credit exposure from any one institution. The Company's accounts receivable arise from amounts billed to contributors but unpaid. The Company performs ongoing evaluations of the recoverability of the receivables and provides allowances for amounts that may be uncollectible. In addition, the Company has improved enforcement by referring delinquent obligations to the FCC.

Cash and Cash Equivalents— USAC considers all highly liquid securities, purchased with an original maturity of three months or less, to be cash equivalents.

Short-Term Investments— USAC considers all securities purchased with an original maturity greater than three months but less than or equal to one year to be short-term investments. Short-term investments consist primarily of investment grade marketable debt securities with readily determinable fair values all of which are classified as held-to-maturity. The Company accounts for its investments in accordance with Statement of Financial Accounting Standards ("SFAS") No. 124, *Accounting for Certain Investments Held by Not-for-Profit Organizations*. Under SFAS No. 124, a not for profit organization reports investments in debt and equity securities at fair market value.

Long-Term Investments— USAC considers all securities purchased with an original maturity greater than one year to be long-term investments. Long-term investments consist primarily of investment grade marketable debt securities with readily determinable fair values all of which are classified as held-to-

UNIVERSAL SERVICE ADMINISTRATIVE COMPANY

NOTES TO FINANCIAL STATEMENTS

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maturity. The Company accounts for its investments in accordance with Statement of Financial Accounting Standards ("SFAS") No. 124, *Accounting for Certain Investments Held by Not-for-Profit Organizations*. Under SFAS No. 124, a not for profit organization reports investments in debt and equity securities at fair market value.

Fixed Assets— Fixed assets consist of furniture, equipment, leasehold improvements and software and are carried at cost. Depreciation of furniture and equipment is calculated on a straight-line basis over the five to seven year estimated useful lives of those assets. Amortization of leasehold improvements is calculated on a straight-line basis over the remaining period of the respective leases or estimated useful lives of the improvements, whichever is less. Amortization of software is calculated on a straight-line basis over the three year estimated useful lives of those assets. Maintenance and repairs are expensed to operations as incurred.

Impairment of Long-Lived Assets— The Company evaluates long-lived assets for impairment whenever events or changes in circumstances indicate that the carrying value of an asset may no longer be recoverable. If the estimated future cash flows (undiscounted and without interest charges) from the use of an asset were less than the carrying value, a write-down would be recorded to reduce the related asset to its estimated fair value.

Receivable from/Payable to Federal USF— Receivable from USF presented on the USAC statements of financial position consists of amounts owed USAC from the USF for accounts payable and accrued expenses incurred by USAC net of assets available to satisfy those obligations. Payable to USF consists of net assets in excess of accounts payable and accrued expenses.

Contract Revenue— USAC recognizes contract revenue when services are rendered. Contract revenues are equal to the cost of providing administrative support to the Support Mechanisms.

Amounts Billed to Contributors— Contributors to the USF are permitted to revise their revenue data, which may result in adjustments to amounts previously billed. Billing adjustments are calculated upon receipt of the revised revenue data and recorded when billed or credited to the contributor. The Company accrues known and unbilled adjustments resulting from revised revenue data received from the contributors before year-end.

Payable to Service Providers— Payable to service providers reflects amounts that have been approved for payment by the various Support Mechanisms but have not yet been disbursed. The Company recognizes the obligation upon review and approval of the submitted payment requests as specified in the Support Mechanism rules.

Payable to Contributors— Payable to contributors represents contributors' credit balances primarily due to overpayments and other adjustments.

Amounts Paid and Due to Service Providers— Amounts paid and due to service providers are presented as a gross amount. However, during 2003 and 2002, service providers receiving support from Schools and Libraries Support Mechanism had the option to net their support due from Schools and Libraries Support Mechanism against their payments relating to all four of the Support Mechanisms comprising USF. It is mandatory that providers receiving support from the Rural Health Care Support Mechanism net their support due against their payments to USF. There is no provision that enables providers to net their support due from High Cost and Low Income Support Mechanisms against their contributions to USF.

Amounts paid and due to service providers through certain Support Mechanisms are based on estimates and provider data that may be subject to subsequent revisions. These revisions may result in adjustments to amounts previously billed or disbursed. In accordance with FCC Rules and Regulations, the Company records these adjustments in the period they are determined. Management does not believe that the impact of these adjustments is material to the financial statements presented.

Statements of Cash Flows— The statements of cash flows include all cash flow activity relating to USAC and the Support Mechanisms.

Reclassifications— Certain reclassifications were made to the prior year financial statements to conform to the current year presentation.

3. ASSETS HELD FOR FEDERAL USF AND LIABILITIES RELATED TO ASSETS HELD FOR FEDERAL USF

In connection with USAC's administration of the Support Mechanisms (Note 1), USAC collects monies and makes disbursements between various telecommunications providers, as specified by the FCC. The following summary financial information applicable to Federal USF is provided for additional information.

UNIVERSAL SERVICE ADMINISTRATIVE COMPANY
NOTES TO FINANCIAL STATEMENTS
YEARS ENDED DECEMBER 31, 2003 AND 2002 (In Thousands)

2003					
Summary Statements of Assets and Liabilities <u>Applicable to Federal USF</u>	High Cost	Low Income	Schools & Libraries	Rural Health Care	Total USF
ASSETS:					
Restricted cash and cash equivalents	\$ 89,756	\$ 50,166	\$ 2,352,503	\$ 16,250	\$ 2,508,675
Investments (Note 2)	-	-	344,459	-	344,459
Receivable from contributors	400,863	89,443	275,937	4,695	770,939
Allowance for doubtful accounts (Note 2)	(70,105)	(16,394)	(52,767)	(636)	(139,902)
Interest receivable	17	41	4,075	8	4,141
Receivable from USAC	99	579	2,053	51	2,782
TOTAL ASSETS	\$ 420,630	\$ 123,835	\$ 2,926,260	\$ 20,368	\$ 3,491,094
LIABILITIES:					
Payable to service providers	\$ 276,818	\$ 55,780	\$ 9,434	\$ 19	\$ 342,051
Payable to contributors	19,453	4,349	12,945	158	36,904
Payable to USAC	-	-	-	-	-
TOTAL LIABILITIES	\$ 296,271	\$ 60,129	\$ 22,379	\$ 177	\$ 378,955

2003					
Summary Statements of Changes in Assets and Liabilities <u>Applicable to Federal USF</u>	High Cost	Low Income	Schools & Libraries	Rural Health Care	Total USF
ADDITIONS:					
Amounts billed to contributors	\$ 3,204,654	\$ 697,528	\$ 2,143,630	\$ 28,333	\$ 6,074,145
Interest income	546	549	25,336	129	26,560
Total additions	3,205,200	698,077	2,168,966	28,462	6,100,705
DEDUCTIONS:					
Amounts paid and due to service providers	3,265,140	711,733	1,409,937	21,883	5,408,693
Allowance for doubtful accounts	8,190	656	4,155	(861)	12,140
Operating expenses	12,118	3,175	40,945	2,553	58,791
Total deductions	3,285,448	715,564	1,455,037	23,574	5,479,624
INTERPROGRAM TRANSFER (Note 5)	128,757	30,538	(159,827)	531	-
CHANGE IN ASSETS AND LIABILITIES	\$ 48,508	\$ 13,051	\$ 554,102	\$ 5,419	\$ 621,081

UNIVERSAL SERVICE ADMINISTRATIVE COMPANY
NOTES TO FINANCIAL STATEMENTS
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Summary Statements of Assets and Liabilities Applicable to Federal USF	2002				
	High Cost	Low Income	Schools & Libraries	Rural Health Care	Total USF
ASSETS:					
Restricted cash and cash equivalents	\$ 101,212	\$ 47,713	\$ 1,923,830	\$ 12,876	\$ 2,085,631
Investments (Note 2)	-	-	275,141	-	275,141
Receivable from contributors	331,632	74,798	230,191	3,636	640,257
Allowance for doubtful accounts (Note 2)	(59,436)	(15,184)	(46,961)	(1,476)	(123,057)
Interest receivable	86	53	3,489	16	3,644
Receivable from USAC	-	-	-	-	-
TOTAL ASSETS	\$ 373,494	\$ 107,380	\$ 2,385,690	\$ 15,052	\$ 2,881,616
LIABILITIES:					
Payable to service providers	\$ 278,320	\$ 52,602	\$ 20,446	\$ -	\$ 351,368
Payable to contributors	19,468	4,250	12,773	219	36,710
Payable to USAC	(146)	(127)	2,692	61	2,480
TOTAL LIABILITIES	\$ 297,642	\$ 56,725	\$ 35,911	\$ 280	\$ 390,558

Summary Statements of Changes in Assets and Liabilities Applicable to Federal USF	2002				
	High Cost	Low Income	Schools & Libraries	Rural Health Care	Total USF
ADDITIONS:					
Amounts billed to contributors	\$ 2,548,280	\$ 627,475	\$ 2,065,543	\$ 27,386	\$ 5,268,684
Interest income	511	666	40,131	262	41,570
Total additions	2,548,791	628,141	2,105,674	27,648	5,310,254
DEDUCTIONS:					
Amounts paid and due to service providers	2,976,294	675,912	1,660,196	16,850	5,329,252
Allowance for doubtful accounts	6,336	2,884	6,061	947	16,228
Operating expenses	6,852	1,870	34,387	3,083	46,192
Total deductions	2,989,482	680,666	1,700,644	20,880	5,391,672
INTERPROGRAM TRANSFER (Note 5)	388,466	57,093	(445,550)	(9)	-
CHANGE IN ASSETS AND LIABILITIES	\$ (52,225)	\$ 4,568	\$ (40,520)	\$ 6,759	\$ (81,418)

UNIVERSAL SERVICE ADMINISTRATIVE COMPANY
NOTES TO FINANCIAL STATEMENTS
YEARS ENDED DECEMBER 31, 2003 AND 2002 (In Thousands)

Summary Statements of Cash Flows Applicable to Federal USF	2003				
	High Cost	Low Income	Schools & Libraries	Rural Health Care	Total USF
CASH FLOWS FROM					
OPERATING ACTIVITIES:					
Cash received from contributors	\$ 3,106,067	\$ 676,789	\$ 2,079,479	\$ 26,963	\$ 5,889,298
Cash paid to service providers	(3,234,823)	(701,808)	(1,400,722)	(21,593)	(5,358,946)
Cash paid to USAC for administrative expenses	(12,044)	(3,620)	(45,611)	(2,660)	(63,935)
Interest received	587	554	24,670	133	25,944
Intraprogram transfers (Note 5)	128,757	30,538	(159,826)	531	-
Net cash (used for) provided by operating activities	(11,456)	2,453	497,990	3,374	492,361
CASH FLOWS FROM					
INVESTING ACTIVITIES:					
Redemption of investments	-	-	320,538	-	320,538
Purchase of investments	-	-	(389,855)	-	(389,855)
Net cash (used for) provided by investing activities	-	-	(69,317)	-	(69,317)
CASH FLOWS FROM					
FINANCING ACTIVITIES	-	-	-	-	-
INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(11,456)	2,453	428,673	3,374	423,044
CASH AND CASH EQUIVALENTS—					
Beginning of year	101,212	47,713	1,923,830	12,876	2,085,631
CASH AND CASH EQUIVALENTS—					
End of year	\$ 89,756	\$ 50,166	\$ 2,352,503	\$ 16,250	\$ 2,508,675

UNIVERSAL SERVICE ADMINISTRATIVE COMPANY
NOTES TO FINANCIAL STATEMENTS
YEARS ENDED DECEMBER 31, 2003 AND 2002 (In Thousands)

Summary Statements of Cash Flows Applicable to Federal USF	2002				
	High Cost	Low Income	Schools & Libraries	Rural Health Care	Total USF
CASH FLOWS FROM					
OPERATING ACTIVITIES:					
Cash received from contributors	\$ 2,499,739	\$ 600,202	\$ 2,049,909	\$ 24,772	\$ 5,174,622
Cash paid to service providers	(2,887,085)	(663,090)	(1,629,281)	(16,441)	(5,195,897)
Cash paid to USAC for administrative expenses	(6,185)	(1,703)	(34,776)	(3,220)	(45,884)
Interest received	1,452	1,439	41,522	267	44,680
Intraprogram transfers (Note 5)	<u>388,466</u>	<u>57,093</u>	<u>(445,550)</u>	<u>(9)</u>	<u>-</u>
Net cash (used for) provided by operating activities	<u>(3,613)</u>	<u>(6,059)</u>	<u>(18,176)</u>	<u>5,369</u>	<u>(22,479)</u>
CASH FLOWS FROM					
INVESTING ACTIVITIES:					
Redemption of investments	-	-	588,342	-	588,342
Purchase of investments	<u>-</u>	<u>-</u>	<u>(431,761)</u>	<u>-</u>	<u>(431,761)</u>
Net cash (used for) provided by investing activities	<u>-</u>	<u>-</u>	<u>156,581</u>	<u>-</u>	<u>156,581</u>
CASH FLOWS FROM					
FINANCING ACTIVITIES	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(3,613)	(6,059)	138,405	5,369	134,102
CASH AND CASH EQUIVALENTS—					
Beginning of year	<u>104,825</u>	<u>53,772</u>	<u>1,785,425</u>	<u>7,507</u>	<u>1,951,529</u>
CASH AND CASH EQUIVALENTS—					
End of year	<u><u>\$ 101,212</u></u>	<u><u>\$ 47,713</u></u>	<u><u>\$ 1,923,830</u></u>	<u><u>\$ 12,876</u></u>	<u><u>\$ 2,085,631</u></u>

UNIVERSAL SERVICE ADMINISTRATIVE COMPANY

NOTES TO FINANCIAL STATEMENTS

YEARS ENDED DECEMBER 31, 2003 AND 2002 (In Thousands)

4. INCOME TAXES

USAC is a not-for-profit organization subject to income taxes related to permanent and temporary differences such as meals and entertainment expense and financial accounting versus tax depreciation. Income taxes for 2003 and 2002 are not material and are included as a component of administrative costs.

5. INTERPROGRAM TRANSFERS

On June 13, 2002, the FCC released Docket No. 02-6, directing USAC to apply unused Schools and Libraries Support Mechanism funds to stabilize the USF contribution factor. Based upon projected demand and projected contributions, USAC transferred unused Schools and Libraries Support Mechanism funds to the other Support Mechanisms in 2002 and first quarter of 2003.

6. COMMITMENTS AND CONTINGENCIES

Commitments to Schools, Libraries and Rural Health Care Facilities —The management of USAC has developed operational procedures to administer the application process through which eligible schools and libraries and rural health care providers apply for universal service funding. These operational procedures enable USAC to review and process applications resulting in funding commitment letters that are issued to eligible schools and libraries and rural health care providers. Funding commitments made to eligible schools and libraries and rural health care providers are not fixed and are not binding for either USAC or the schools and libraries and rural health care providers applying for funding. At any point in time, funds committed could potentially exceed funds available due to the nature of the process, the volume and timing of application receipt and approval, the timing of collections and the extent to which several funding years may be open at that point in time. USAC also receives funds returned by service providers and applies those funds to reduce the disbursements against commitments to schools, libraries, and rural health care providers.

Fixed Contract Commitments

IBM Agreement —On May 10, 2001, USAC entered into an agreement with PricewaterhouseCoopers Consulting, LLP ("PwC") (the "PwC Agreement") for billing, collection and disbursement services for USAC. The PwC Agreement was a five-year contract, for the period July 1, 2001 to June 30, 2006. On October 1, 2002, IBM Consulting ("IBM") purchased PwC, resulting in an assignment of USAC's contract to IBM ("IBM Agreement"). In January 2003, the FCC directed USAC to terminate the IBM Agreement due to IBM's acquisition of PwC. USAC's board of directors approved a course of action to negotiate a termination of the IBM Agreement and develop a plan to perform the billing, collection and disbursements in house. On June 1, 2003, USAC and IBM agreed to terminate the prior agreement and entered into a restated

agreement for transition services through February 2004. During 2003, USAC began to perform the billing, collection and disbursements in house.

The following amount represents the full contractual obligation due under the IBM Agreement in effect at December 31, 2003:

Year Ending December 31, 2004	\$ 725
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LaSalle Bank Agreement —On May 1, 2001, USAC entered into an agreement with LaSalle Bank ("LaSalle Agreement"). The LaSalle Agreement is a five-year contract, which runs from July 1, 2001 to June 30, 2006. Under the terms of the LaSalle Agreement, LaSalle provides banking and investment management services for a fixed annual contractual amount that may be satisfied by fees derived by LaSalle from the investment of a portion of the custodial assets. LaSalle has also agreed to share with USAC the fees it earns for managing the investments after the annual fee has been satisfied. In accordance with the LaSalle Agreement, USAC accrued fees of \$2,756 and \$2,088 for the years ended December 31, 2003 and 2002, respectively, which is reflected as a reduction in operating expenses in the accompanying financial statements. The fees earned are dependent on the amounts invested and vary over the term of the contract. Because USAC's contract with IBM terminated in February 2004, the nature of USAC's contract with LaSalle has changed. Consequently, USAC has determined that it would be more appropriate to recognize the fixed annual contractual amount with LaSalle as a billing and collection expense and the fees earned in excess of those used to satisfy the contractual amount as investment income in 2004 and beyond. This accounting change was implemented in first quarter 2004.

The future contractual required payments per year under the LaSalle Agreement are as follows:

2004	\$ 974
2005	1,027
2006	528

NECA Services Inc. Agreement —On May 1, 2000, USAC entered into an agreement with NECA ("NECA Agreement"). The NECA Agreement was a three-year contract, which ran from July 1, 2000 to June 30, 2003. Effective July 1, 2002, the NECA Agreement was amended and extended to June 30, 2005, with renewal options through June 30, 2008. Under the terms of the new agreement, NECA is to provide programmatic support service to the Schools and Libraries and Rural Health Care Support Mechanisms. Effective January 1, 2003, the contract was assigned to NECA Services Inc. ("NSI Agreement"). The future contractual required payments per year through June 30, 2005 under the new NSI Agreement are as follows:

UNIVERSAL SERVICE ADMINISTRATIVE COMPANY
NOTES TO FINANCIAL STATEMENTS
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June 30, 2005 under the new NSI Agreement are as follows:

	Schools and <u>Libraries</u>	Rural <u>Health Care</u>
2004	\$ 31,497	\$ 2,558
2005	\$ 16,686	\$ 1,343

Telcordia Agreement —On September 2, 2003, USAC entered into an agreement with Telcordia Technologies, Inc. ("Telcordia Agreement"). The Telcordia Agreement is a five-year contract with a four-month transition phase that runs from September 2, 2003 to December 31, 2008, with a renewal option for one year. Under the terms of the agreement, Telcordia is to provide programmatic support services to the High Cost and Low Income Support Mechanisms. The future contractual required payments per year through December 31, 2008 under the Telcordia Agreement are as follows:

2004	\$ 4,674
2005	4,136
2006	4,000
2007	3,888
2008	3,975

Lease Commitments —USAC leases its office space under two operating lease agreements expiring at various dates through December 2013. At December 31, 2003, the future minimal rental payments under these leases are as follows:

2004	\$ 967
2005	982
2006	1,005
2007	1,027
2008	1,050
Thereafter	5,719

Rent expense under operating leases was \$716 and \$330 for the years ended December 31, 2003 and 2002, respectively.

Legal Disputes —The Company is involved in various legal proceedings and claims incidental to the normal conduct of its business. Among other matters, the Company was named as a third-party defendant in a judicial proceeding in the Commonwealth of Puerto Rico asserting the claim that a Schools and Libraries Universal Service Support Mechanism funding commitment was a binding contract breached by the Company. The third-party plaintiff, who failed to exhaust its administrative remedies as required by law, seeks \$70 million in unspecified damages. The Company was also named as a defendant in a complaint in the United States Bankruptcy Court for the Northern District of Illinois seeking to avoid allegedly wrongful transfers under the Bankruptcy Code and to recover approximately \$3.7 million in universal service contributions. The Company believes the allega-

tions in the complaints are without merit and is defending these matters vigorously. Although it is impossible to predict the outcome of these or any of the other outstanding legal proceedings involving the Company, the Company believes that such outstanding legal proceedings and claims, individually and in the aggregate, are not likely to have a material effect on its financial position or results of operations.

7. RETIREMENT PLANS

USAC has a 401(k) Retirement Savings Plan covering all USAC regular employees. The plan is both contributory and noncontributory and all contributions are subject to certain limitations as prescribed by the plan document and government regulations. Employees are immediately vested in the employer contribution, which is funded on a current basis. Employer contributions charged to operations was \$663 and \$439 during 2003 and 2002, respectively.

8. RECENTLY ISSUED ACCOUNTING PRONOUNCEMENTS

In June and August 2001, the Financial Accounting Standards Board ("FASB") issued Statement of Financial Accounting Standards ("SFAS") No. 143, Accounting for Asset Retirement Obligations, and No. 144, Accounting for the Impairment or Disposal of Long-Lived Assets, respectively. SFAS No. 143, which was effective for the Company on January 1, 2003, requires that the fair value of a liability for an asset retirement obligation be recognized in the period in which it is incurred if a reasonable estimate of fair value can be made. The associated asset retirement costs are capitalized as part of the carrying amount of the long-lived asset. The adoption of SFAS No. 143 did not have a material impact on the Company's financial position, operations or cash flows. SFAS No. 144, which was effective for the Company on January 1, 2002, supersedes current accounting literature and now provides for a single accounting model for long lived assets to be disposed of by sale and discontinued operations presentation. The adoption of this statement did not have a material effect on the Company's financial statements.

In June 2002, the FASB issued SFAS No. 146, Accounting for Costs Associated with Exit or Disposal Activities. This standard nullifies Emerging Issue Task Force (EITF) Issue No. 94-3, Liability Recognition for Certain Employee Termination Benefits and Other Costs to Exit an Activity (including Certain Costs Incurred in a Restructuring). This standard requires the recognition of a liability for a cost associated with an exit or disposal activity at the time the liability is incurred, rather than at the commitment date to exit a plan as required by EITF 94-3. The Company adopted this standard effective January 1, 2003. The adoption of SFAS No. 146 did not have a material effect on its results of operations or financial position.

	* 1/31/03 Actual	* 2/28/03 Actual	* 3/31/03 Actual	* 4/30/03 Actual	* 5/31/03 Actual	* 6/30/03 Actual
REVENUE—						
Contract revenue	\$ 4,378,972	\$ 4,644,565	\$ 5,366,404	\$ 5,128,792	\$ 4,693,990	\$ 4,344,857
OPERATING EXPENSES:						
Contractual expenses	3,602,048	3,893,264	3,929,439	3,895,839	3,300,498	3,169,365
Personnel and related expenses	690,119	520,602	733,867	589,303	617,880	616,848
General and administrative	64,387	207,074	679,287	619,414	750,111	535,126
Depreciation and amortization	22,418	23,625	23,810	24,235	25,501	23,518
Total operating expenses	\$ 4,378,972	\$ 4,644,565	\$ 5,366,404	\$ 5,128,792	\$ 4,693,990	\$ 4,344,857
NET INCOME	—	—	—	—	—	\$ —
UNRESTRICTED NET ASSETS—						
Beginning of year	—	—	—	—	—	\$ —
UNRESTRICTED NET ASSETS—						
End of year	—	—	—	—	—	\$ —

	* 7/31/03 Actual	* 8/31/03 Actual	* 9/30/03 Actual	* 10/31/03 Actual	* 11/30/03 Actual	* 12/31/03 Actual	Year to Date Actual
REVENUE—							
Contract revenue	\$ 4,870,124	\$ 4,876,237	\$ 4,257,331	\$ 4,541,284	\$ 5,523,974	\$ 4,389,593	\$ 58,791,001
OPERATING EXPENSES:							
Contractual expenses	2,856,935	2,578,007	2,731,572	3,085,335	3,923,353	982,302	41,355,149
Personnel and related expenses	1,003,111	670,942	734,036	814,648	797,283	750,491	8,770,943
General and administrative	985,409	1,598,967	762,417	610,901	771,512	750,491	8,335,095
Depreciation and amortization	24,769	28,321	29,306	30,339	31,826	42,084	329,813
Total operating expenses	\$ 4,870,124	\$ 4,876,237	\$ 4,257,331	\$ 4,541,284	\$ 5,523,974	\$ 6,164,470	\$ 58,791,001
NET INCOME	—	—	—	—	—	—	\$ —
UNRESTRICTED NET ASSETS—							
Beginning of year	—	—	—	—	—	—	\$ —
UNRESTRICTED NET ASSETS—							
End of year	—	—	—	—	—	—	\$ —

*47 CFR§ 54.702(g) requires that USAC’s Annual Report include an itemization of monthly administrative costs. The Independent Auditor’s Report included as Appendix A contains audited administrative costs for the year ended December 31, 2003. The report did not allocate costs on a monthly basis. Therefore, the per-month figures cited above are unaudited.

Support by Service Provider Type, 2004 (In Thousands) - Unaudited

SERVICE PROVIDER TYPE	HIGH COST	LOW INCOME	RURAL HEALTH CARE	SCHOOLS AND LIBRARIES	TOTAL 2004
Competitive Access Provider	\$ 9,900	\$ 12,911	\$ 114	\$ 82,254	\$ 105,179
Cellular/PCS Providers	323,162	27,330	---	44,961	395,453
Interexchange Providers	---	---	226	44,129	44,355
Internet Service Providers	---	---	---	71,894	71,894
Local Exchange Carriers	3,154,510	718,587	422	433,417	4,306,936
Local Resellers	---	---	---	15,016	15,016
Non-Traditional Providers	---	---	---	268,997	268,997
Operator Service Providers	---	---	---	16	16
Other Local	---	---	311	14,869	15,180
Other Mobile	---	---	---	671	671
Other Toll	---	---	---	1,495	1,495
Paging and Messaging	---	---	---	1,477	1,477
Payphone Service Providers	---	---	---	2	2
Pre-Paid Card Providers	---	---	---	---	---
Private Service Providers	---	---	---	16,372	16,372
Satellite Service Providers	---	---	---	3,406	3,406
Shared Tenant Service Providers	---	---	---	163	163
Specialized Mobile Service Providers	---	---	---	1,138	1,138
Toll Resellers	---	---	3	26,515	26,518
Wireless Data Providers	---	---	---	7,081	7,081
Not Specified	---	---	71	42,363	42,434
TOTAL	\$ 3,487,572	\$ 758,828	\$ 1,147	\$ 1,076,237	\$ 5,323,784

High Cost Support by State, 2004 (In Thousands)- Unaudited

STATE	TOTAL RURAL	TOTAL NON-RURAL	2004 SUPPORT	TOTAL 1998 - 2004
Alabama	\$ 38,771	\$ 60,755	\$ 99,526	\$ 550,225
Alaska	92,274	3,304	95,578	540,621
American Samoa	1,959	0	1,959	6,037
Arizona	62,934	15,385	78,320	365,408
Arkansas	111,066	25,149	136,215	644,486
California	66,694	28,679	95,373	523,055
Colorado	61,577	22,897	84,475	428,650
Connecticut	1,402	809	2,211	10,253
Delaware	0	266	266	4,715
District of Columbia	0	0	0	0
Florida	44,465	40,234	84,700	427,392
Georgia	95,532	15,605	111,137	653,148
Guam	7,229	0	7,228	23,317
Hawaii	10,491	2,436	12,928	41,638
Idaho	54,001	0	54,000	294,075
Illinois	41,934	10,669	52,603	285,213
Indiana	33,248	21,551	54,799	260,995
Iowa	69,542	12,299	81,841	314,919
Kansas	123,216	4,632	127,848	605,375
Kentucky	38,571	32,456	71,027	298,590
Louisiana	90,878	13,654	104,532	566,961
Maine	27,999	3,038	31,037	192,489
Maryland	1,680	1,174	2,853	19,084
Massachusetts	1,156	1,097	2,253	43,758
Michigan	47,835	1,948	49,783	288,338
Minnesota	88,306	7,159	95,465	420,789
Mississippi	32,236	154,724	186,960	857,532
Missouri	78,766	11,339	90,105	507,665
Montana	56,475	18,614	75,089	389,046
Nebraska	39,651	7,388	47,039	214,137
Nevada	20,626	7,426	28,052	142,463
New Hampshire	9,833	1,998	11,831	70,133
New Jersey	1,155	0	1,155	20,409
New Mexico	45,238	5,740	50,978	294,284
New York	42,905	8,401	51,306	348,574
North Carolina	49,514	29,474	78,988	350,120
North Dakota	48,194	6,602	54,796	239,051
Northern Mariana Islands	881	0	881	24,219
Ohio	29,863	8,183	38,046	189,392
Oklahoma	97,375	4,614	101,989	555,535
Oregon	54,508	16,990	71,498	389,943
Pennsylvania	50,913	3,819	54,732	265,027
Puerto Rico	0	114,729	114,729	843,762
Rhode Island	0	56	56	282
South Carolina	64,803	11,255	76,057	420,744
South Dakota	50,484	6,050	56,534	220,267
Tennessee	47,928	7,351	55,279	288,966
Texas	188,655	43,060	231,715	1,173,270
Utah	21,400	1,110	22,510	113,053
Vermont	18,351	13,214	31,564	157,682
Virgin Islands	21,653	0	21,652	174,046
Virginia	26,903	52,262	79,165	354,283
Washington	59,113	30,366	89,479	466,301
West Virginia	35,497	32,932	68,428	412,213
Wisconsin	96,080	7,372	103,452	479,204
Wyoming	31,111	24,415	55,526	257,455
TOTAL	\$ 2,532,869	\$ 954,703	\$ 3,487,572	\$18,028,612

High Cost Support by Component, 2004 (Disbursements in Thousands) - Unaudited

STATE	HIGH COST LOOP	INTERSTATE ACCESS	LONG TERM	LOCAL SWITCHING	ICLS	TOTAL 2004 SUPPORT
Alabama	\$ 59,749	\$ 18,797	\$ 3,838	\$ 6,423	\$ 10,718	\$ 99,526
Alaska	48,294	0	9,441	14,291	23,550	95,578
American Samoa	767	0	137	531	522	1,959
Arizona	39,967	19,449	1,759	8,658	8,486	78,320
Arkansas	65,727	17,186	6,681	8,618	38,001	136,215
California	37,645	31,135	6,392	6,071	14,128	95,373
Colorado	37,747	20,910	7,715	5,316	12,785	84,475
Connecticut	0	809	87	619	694	2,211
Delaware	0	266	0	0	0	266
District of Columbia	0	0	0	0	0	0
Florida	10,687	59,856	2,408	3,739	8,007	84,700
Georgia	42,811	15,808	9,612	15,740	27,165	111,137
Guam	4,775	0	907	0	1,545	7,228
Hawaii	4,850	2,331	84	1,227	4,434	12,928
Idaho	21,472	15,995	1,876	8,048	6,608	54,000
Illinois	12,559	12,452	3,283	12,058	12,250	52,603
Indiana	8,836	25,104	2,755	8,415	9,688	54,799
Iowa	18,082	6,691	5,539	24,763	26,765	81,841
Kansas	69,478	8,049	6,198	14,086	30,035	127,848
Kentucky	34,553	16,827	2,547	4,666	12,433	71,027
Louisiana	59,465	10,607	9,678	6,776	18,004	104,532
Maine	11,052	305	3,353	8,252	8,073	31,037
Maryland	354	1,174	49	583	693	2,853
Massachusetts	102	1,097	55	721	276	2,253
Michigan	23,513	396	5,849	8,968	11,056	49,783
Minnesota	29,541	4,502	8,240	21,529	31,652	95,465
Mississippi	156,199	17,958	2,693	3,336	6,772	186,960
Missouri	42,305	14,500	5,040	7,317	20,941	90,105
Montana	44,797	1,181	5,376	9,974	13,759	75,089
Nebraska	18,950	4,974	2,050	10,438	10,625	47,039
Nevada	6,321	10,085	539	7,201	3,904	28,052
New Hampshire	681	1,998	812	5,860	2,477	11,831
New Jersey	0	438	0	693	23	1,155
New Mexico	20,742	7,980	3,388	10,281	8,584	50,978
New York	9,837	15,901	3,076	16,628	5,862	51,306
North Carolina	15,712	34,870	6,276	5,803	16,324	78,988
North Dakota	16,147	761	4,467	15,148	18,271	54,796
Northern Mariana Islands	*(70)	287	0	663	0	881
Ohio	9,243	15,632	2,710	4,361	6,097	38,046
Oklahoma	51,024	4,784	8,146	15,394	22,639	101,989
Oregon	26,993	18,852	5,533	8,028	12,091	71,498
Pennsylvania	1,681	19,181	7,258	4,886	21,724	54,732
Puerto Rico	*(2)	0	60,779	0	53,951	11,4729
Rhode Island	0	56	0	0	0	56
South Carolina	24,911	14,089	5,875	5,703	25,478	76,057
South Dakota	24,401	177	3,453	10,637	17,865	56,534
Tennessee	17,701	9,955	5,251	8,115	14,255	55,279
Texas	119,359	37,331	15,215	20,822	38,987	231,715
Utah	7,338	2,189	799	4,879	7,302	22,510
Vermont	16,595	2,421	1,283	5,081	6,183	31,564
Virgin Islands	2,654	63,058	1,764	6,079	5,608	79,165
Virginia	13,998	0	3,871	0	3,782	21,652
Washington	28,024	28,958	9,274	8,583	14,638	89,479
West Virginia	45,915	16,479	570	3,683	1,779	68,428
Wisconsin	26,830	315	7,926	26,702	41,677	103,452
Wyoming	31,317	7,566	2,899	5,887	7,855	55,526
TOTAL	\$1,421,657	\$641,745	\$274,822	\$422,305	\$727,043	\$3,487,572

Low Income Support by Component, 2004 (Disbursements in Thousands) - Unaudited

STATE	LIFELINE	LINK-UP	TOLL LIMITATION	2004 SUPPORT	TOTAL 1998-2004
Alabama	\$ 3,076	\$ 23	\$ 11	\$ 3,112	\$ 16,122
Alaska	3,737	116	53	3,907	12,194
American Samoa	63	0	0	64	321
Arizona	19,339	281	81	19,702	58,230
Arkansas	1,922	65	16	2,003	7,745
California	281,790	17,114	2,818	301,722	2,055,874
Colorado	3,978	16	19	4,013	20,125
Connecticut	5,374	150	4	5,528	35,229
Delaware	256	8	0	265	998
District of Columbia	1,037	4	0	1,042	6,964
Florida	18,016	321	46	18,384	98,124
Georgia	7,991	147	95	8,233	49,605
Guam	411	19	6	436	1,696
Hawaii	750	17	0	769	7,557
Idaho	3,604	18	19	3,642	16,339
Illinois	8,144	1,019	8	9,171	44,504
Indiana	4,584	575	1	5,161	20,591
Iowa	4,304	52	30	4,388	12,349
Kansas	2,124	82	27	2,233	8,414
Kentucky	6,790	244	130	7,165	30,167
Louisiana	2,074	25	3	2,103	9,751
Maine	8,991	450	24	9,466	57,368
Maryland	508	21	0	529	2,844
Massachusetts	15,763	7	0	15,771	109,691
Michigan	10,993	474	6	11,474	79,411
Minnesota	5,243	30	11	5,285	28,218
Mississippi	3,050	27	4	3,081	13,772
Missouri	3,951	198	93	4,243	16,847
Montana	2,134	25	24	2,184	9,787
Nebraska	2,086	34	27	2,148	9,802
Nevada	4,563	146	17	4,727	17,003
New Hampshire	664	1	0	666	3,540
New Jersey	14,172	104	2	14,279	34,845
New Mexico	7,506	64	63	7,634	32,456
New York	50,588	926	13	51,528	365,694
North Carolina	14,087	110	47	14,245	58,279
North Dakota	3,059	126	12	3,198	11,984
Northern Mariana Islands	70	11	0	81	318
Ohio	32,169	921	67	33,158	137,358
Oklahoma	19,787	1,230	116	21,134	57,809
Oregon	5,554	303	173	6,030	25,953
Pennsylvania	12,391	905	0	13,297	51,424
Puerto Rico	11,500	260	0	11,761	32,841
Rhode Island	4,979	2	0	4,983	31,440
South Carolina	2,850	49	20	2,920	15,494
South Dakota	3,926	154	31	4,113	16,097
Tennessee	6,152	73	15	6,242	29,840
Texas	64,172	2,423	170	66,766	260,470
Utah	2,413	13	19	2,446	14,208
Vermont	3,005	18	4	3,028	19,842
Virgin Islands	0	0	0	0	139
Virginia	2,224	49	1	2,276	14,702
Washington	14,948	1,601	807	17,357	67,681
West Virginia	599	15	2	617	3,178
Wisconsin	7,429	951	2	8,383	41,584
Wyoming	550	113	46	710	1,853
TOTAL	\$ 721,467	\$ 32,155	\$ 5,206	\$ 758,828	\$ 4,186,696

Rural Health Care Support by State, 2004 (Commitments in Thousands) - Unaudited

STATE	*2004 SUPPORT	TOTAL 1998-2004
Alabama	\$ 0	\$ 78
Alaska	68	52,921
American Samoa	0	0
Arizona	0	3,580
Arkansas	21	537
California	37	1,238
Colorado	0	662
Connecticut	0	0
Delaware	0	0
District of Columbia	0	0
Florida	0	689
Georgia	22	141
Guam	0	0
Hawaii	0	1,090
Idaho	4	496
Illinois	0	543
Indiana	0	41
Iowa	94	780
Kansas	26	1,213
Kentucky	236	1,628
Louisiana	0	31
Maine	0	147
Maryland	0	0
Massachusetts	0	0
Michigan	4	2,274
Minnesota	153	3,634
Mississippi	20	349
Missouri	0	348
Montana	76	2,344
Nebraska	19	2,427
Nevada	0	276
New Hampshire	2	58
New Jersey	0	0
New Mexico	0	1,144
New York	0	173
North Carolina	12	772
North Dakota	116	2,179
Northern Mariana Islands	0	0
Ohio	0	354
Oklahoma	0	326
Oregon	0	217
Pennsylvania	0	107
Puerto Rico	0	0
Rhode Island	0	0
South Carolina	0	82
South Dakota	170	1,514
Tennessee	7	167
Texas	0	440
Utah	0	1,241
Vermont	0	5
Virgin Islands	0	375
Virginia	0	613
Washington	10	355
West Virginia	10	256
Wisconsin	16	1,383
Wyoming	24	487
TOTAL	\$ 1,147	\$ 89,717

Schools and Libraries Support by State, 2004 (Commitments In Thousands) - Unaudited

STATE	*2004 SUPPORT	TOTAL 1998-2004
Alabama	\$ 17,358	\$ 195,976
Alaska	7,399	85,686
American Samoa	0	15,258
Arizona	21,774	325,064
Arkansas	5,750	116,372
California	108,225	1,958,161
Colorado	19,302	117,561
Connecticut	6,851	156,100
Delaware	593	9,566
District of Columbia	109	93,312
Florida	43,408	398,131
Georgia	29,250	451,336
Guam	5,727	16,133
Hawaii	2,937	26,779
Idaho	3,326	29,611
Illinois	33,087	621,991
Indiana	12,775	153,135
Iowa	5,743	56,153
Kansas	11,346	84,815
Kentucky	17,736	236,009
Louisiana	18,835	226,936
Maine	3,775	32,803
Maryland	12,801	120,741
Massachusetts	11,012	227,694
Michigan	31,756	399,908
Minnesota	14,820	160,966
Mississippi	21,886	216,014
Missouri	15,653	277,582
Montana	3,177	25,487
Nebraska	7,218	46,936
Nevada	1,069	27,630
New Hampshire	1,901	11,409
New Jersey	25,778	329,794
New Mexico	15,427	221,116
New York	154,204	1,994,526
North Carolina	27,437	240,980
North Dakota	3,742	20,287
Northern Mariana Islands	716	6,155
Ohio	48,231	438,820
Oklahoma	36,668	255,543
Oregon	11,318	86,875
Pennsylvania	68,041	504,070
Puerto Rico	41	207,772
Rhode Island	3,892	47,242
South Carolina	10,417	298,935
South Dakota	3,879	26,581
Tennessee	9,315	269,602
Texas	101,134	1,427,401
Utah	8,439	52,041
Vermont	1,503	12,093
Virgin Islands	805	18,230
Virginia	15,623	168,136
Washington	9,633	149,666
West Virginia	7,768	58,741
Wisconsin	14,744	182,933
Wyoming	888	14,321
TOTAL	\$ 1,076,237	\$ 13,953,118

*Commitments were suspended from August through December 2004 to comply with the Antideficiency Act. It is estimated that approximately \$2.3 billion will be committed for the entire 2004 Funding year.

Schools and Libraries Support by Discount Band, 2004
(Dollar Amounts in Thousands) - Unaudited

DISCOUNT BAND	INTERNAL CONNECTIONS	INTERNET ACCESS	TELECOM SERVICES	TOTAL	PERCENT OF TOTAL
20 - 29%	\$ 0	\$ 400	\$ 1,801	\$ 2,201	0.20%
30 - 39%	0	781	4,339	5,121	0.48%
40 - 49%	0	19,304	87,159	106,463	9.89%
50 - 59%	0	20,918	74,514	95,433	8.87%
60 - 69%	0	26,058	120,467	146,525	13.61%
70 - 79%	0	42,508	120,008	162,515	15.10%
80 - 89%	0	35,167	143,969	179,135	16.64%
90%	304,440	17,862	56,543	378,844	35.20%
Total	\$ 304,440	\$ 162,998	\$ 608,800	\$ 1,076,237	100.00%
Percent of Total	28.29%	15.15%	56.56%	100.00%	

Rural/Urban Statistics, 2004 (Dollar Amounts in Thousands) - Unaudited

RURAL/URBAN STATUS	NUMBER OF APPLICATIONS	PERCENT OF APPLICATIONS	AMOUNT	PERCENT OF TOTAL
Rural	10,882	39.86%	\$ 345,988	32.15%
Urban	9,789	35.86%	184,532	17.15%
N/A	6,628	24.28%	545,717	50.70%
Total	27,299	100.00%	\$ 1,076,237	100.00%

Applicant Type, 2004 (Dollar amounts in Thousands) - Unaudited

APPLICANT TYPE	NUMBER OF APPLICATIONS	PERCENT OF APPLICATIONS	AMOUNT	PERCENT OF TOTAL
School District	15,289	56.01%	\$ 857,146	79.64%
Library/Library Consortium	3,986	14.60%	40,990	3.81%
School	7,435	27.24%	89,040	8.27%
Consortium	589	2.16%	89,062	8.28%
Total	27,299	100.00%	\$ 1,076,237	100.00%

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High Cost Support Mechanism

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Low Income Support Mechanism

High Cost/Low Income Division
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RRC 4A1060
Piscataway, NJ 08854
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Website: <http://www.universalservice.org/li/>

Rural Health Care Support Mechanism

Rural Health Care Division
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Schools and Libraries Support Mechanism

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